

Ch#10

- How much funds is required?
- when the fund is required?
- How to use the funds

Financial Plan

Q. Define Financial Plan and components of financial

^{problem of}
⇒ estimation of capital necessary for accomplishing the organization's business activities.
Financial Plan:

⇒ Finance is most important pre-requisite.

⇒ Timely availability → Right amount at right time.

⇒ A second ~~source~~ sound financial plan shows:

a) Source (what will be the source of financial plan)

b) investment (where you will invest money)

c) Dividend (How much return you will pay on that particular finance and ultimate person)

⇒ Financial plan answers:

(1) How much funds required?

(2) where it will be come?

(3) How it will be come?

(4) what will be the cash position

(5) of our organization?

(6) How we will maintain liquidity and maintain balance b/w < > Balance?

- The projected financial position of the firm

⇒ A Financial plan outlines how a business will manage its money.

⇒ it includes estimates of how much money the business will make and spend, helps in setting budgets and shows how the business can stay profitable.

⇒ This plan is important for attracting investors and making sure the business can pay its bills and grow.

Components of FP

(1) Pragmaza investment Decisions:

⇒ Defⁿ

o This involves planning how to use money effectively to maximize returns by investing in assets like building and equipment.

various investment decisions

- o Land and building construction decisions.
- o Machinery plant

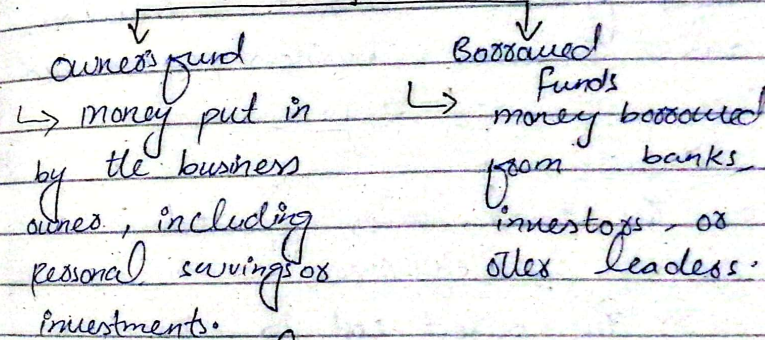
- o Installation Cost
- o Preliminary expenses
- o Margin for working Capital
- o Investment in short term Assets

2. Pragmaza financing Decisions:

Definition

⇒ Planning how to get the best mix of funding from different sources to finance the business.

Sources of funds



Entrepreneurial Responsibility

- ⇒ Minimizing Costs and Risks
- ⇒ Maximizing Returns

→ how much sales what will be these and expected cost net profit and loss
 details - the profit & losses that business experienced along specific time period

3. Proforma income statement

They are showing future projections
 Also called Proforma profit and loss, are projections based on past income statement

Definition:

⇒ A projected income statement that estimates profits by subtracting expected costs from expected revenue. it ends with net income or loss for the period.

⇒ it is a financial forecast for a new business that estimates how much money it will make and spend over a certain period usually the first year.
 ⇒ it helps entrepreneurs plan their finances, attract investors and measure business performance

Key parts of proforma:

Revenue:

- o The total sales expected.

Cost of Goods Sold (COGS):

- o The direct cost to produce goods or service.

Gross profit:

- o Revenue - COGS

Operating expenses:

- o Costs to run the business.

Operating income:

- o Gross profit - Operating expenses

Net Profit:

- o The final profit.

Calculation Process:

⇒ Use methods like market research, industry sales analysis, buyer surveys, expert opinions, financial data comparison, and trial experience to forecast sales.

Conservative estimates:

⇒ Use cautious and realistic estimates to ensure credibility and avoid overestimating profits.

Purpose:

- o Planning & Budgeting
- o Feasibility
- o funding
- o performance tracking

- o Proforma income statement published quarterly or frequently.

Information includes:

- o Expenses
- o Expenditures
- o Future expenses
- o Building repairs
- o Areas under Budget
- o Areas over Budget
- o Analysis of company

4. Proforma Cash flows

Definition

shows the projected flow of cash into and out of a company for a specific period of time. A forecast showing the actual cash the business will receive and spend, focusing on cash inflows and outflows.

- o Usually the first year of operations.
- o Showing how much cash will be available to the business at any given time.

- o Projected cash available calculated from projected cash accumulations minus projected cash disbursements.

Key elements of a proforma cash flow statement

Cash inflows

- o All expected sources of cash, such as sales revenue, loans, investments and any other cash receipts.

Cash outflows

- o money going out for expenses like rent, salaries, and loan payments.

Net cash flows

- o Difference between cash in and cash out.

o +ive means more money coming

o -ive means opposite.

Importance and purpose

- o Liquidity management
- o financial planning
- o Investor confidence
- o Operational planning

Profit vs Cash flow

- Profit is revenue - expenses.
- cash flow is the actual money coming and going out.

Simplifying cash flow projections

- ⇒ Use simple methods to estimate cash position, making sure there's enough cash to run the business.

Conservative Approach

- ⇒ Use cautious estimates to ensure enough cash is available.

Monitoring and Adjustments

- ⇒ Regularly update the cash flow forecast to reflect changes and ensure financial stability.

Methods for cash flow

- ⇒ There are two standard methods to project cash flow:

- Indirect method

- Direct method

Classification of cash flows



◦ Shows a projected snapshot of a company's assets, liabilities and owner's equity at a specific point in time.

5: Proforma Balance sheet

Definition:

- ⇒ A projected balance sheet that shows the business's expected assets, liabilities, and net worth after the first year.

⇒ Look at the current state of the business

- ⇒ In other words:

- A proforma balance sheet is like a snapshot of a business's finance in the future, usually at the end of first year.

- ⇒ It shows what the business owns (like cash and equipment), what it owes (like loans and bills) and how much of the business actually belongs to the owner.

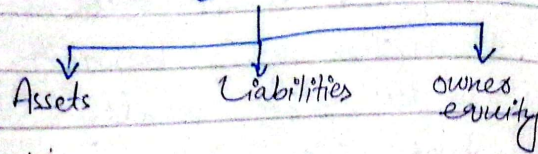
Disavowments

- The balance sheet will reverse the use of proforma income and cash flow statements to help justify some of the figures.

⇒ Every business transaction affects the balance sheet.

⇒ Balance sheet is a picture of the business at a certain moment in time and does not cover a period of time.

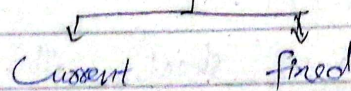
Components of BS:



(1) Assets:

- what the business owns, such as cash, inventory, equipment, and property.
- items that are owned or available to be used in the venture operations.

Types



Current assets:

- include cash and anything else that is expected to be converted into cash.

Fixed assets:

- That are tangible and will be used over a long period of time.

(2) Liabilities:

- money that is owed to creditors. What the business owes includes loans, bills and other debts.

(3) Owner's equity:

- The amount owners have invested and/or retained from the venture operations.
- Shows how much of the business belongs to the owner after paying off debts.

Financial Position:

- Shows the business overall financial health, including its ability to pay debts and sustain operations.

Comparative analysis:

- Comparing projected balance sheets over time helps track performance and identify areas for improvement.

6. Break-even Analysis:

Definition:

Break-even (equilibrium point)

- Break-even is that volume of sales at which the business will neither make a profit nor incur a loss.

- Break-even analysis is a useful technique for determining how many units must be sold or how much sales volume must be achieved to break even.

- The point^{ise} where total revenue equals total costs.

Formula:

$$B/E(Q) = \frac{TFC}{SP - VC/\text{unit}}$$

$$TC = \text{Fixed cost} + \text{variable cost.}$$

$$TR = \text{Price} \cdot Q$$



$B/E(Q)$ = breakeven quantity

TFC = total fixed costs

SP = selling price

VC/unit = variable cost per unit

minimum level of op:

- The minimum production needed to avoid losses.

Impact of op changes:

- how changes in production levels affect profitability.

Selling price determination:

- Set the right selling price to ensure profitability.

Identification of profitable production options:

- Identifies which products or services are profitable.

7. Economic and social variables:

Definition:

- Includes costs for reducing environmental impact and demonstrates a commitment to sustainability.

Local Resource Utilization:

- Using local resources supports regional growth.

8. Pro forma sources and applications of funds

⇒ Summarizes all the projected sources of funds available to the venture and how these funds will be disbursed.

⇒ its purpose is to show how net income and financing were used to increase assets or to pay off debt.

Objectives of financial planning

- Determining capital requirements
↳ short-term & long-term

- Determining capital structure ratio both short-term & long-term
↳ decisions of debt equity

- Framing financial policies

Importance

- Determine feasibility

- Variance analysis

- Obtaining fund

- Cash flow shortages

- forecasting financial requirements